

LDI pitch deck

No problem — the required structure is fully specified, so I'll write the deck directly from the court record.

PITCH — LDI — PROPOSED VERDICT

REJECT — no entry; tripwire-gated watch only. PROPOSED — PENDING

ADJUDICATION. (Red bench: REJECT, conviction 7/10. Blue bench: partially overturned red's reasoning but sustained the rejection on narrower grounds, conviction 8/10.)

What we believe

loanDepot's business is genuinely getting better, and it doesn't matter yet — because the debt market is telling us the company may not make it to the payoff.

The improvement is real. In the second quarter of 2026, loanDepot originated \$7.99 billion of mortgages, up 18.7% from the same quarter last year. Revenue rose 19.4% year over year to \$337.3 million. The net loss narrowed to \$6.6 million from \$25.3 million a year ago, and loan units grew 26%, driven largely by a fast-ramping home-equity product built with Figure. Our red (bear) bench initially charged that this "improvement" was just normal spring-season strength dressed up as a turnaround; that charge was checked against the year-over-year numbers and it failed. The turnaround is not a seasonal illusion.

But the company owes \$934.5 million on two bond maturities (November 2027 secured, April 2028 unsecured) against \$229.1 million of cash — and that cash is down 44% from \$408.6 million a year ago. The bonds tell the story: loanDepot bought back its own secured 2027 notes at 90 cents on the dollar in the second quarter and at 86 cents through late July. Buyers demanding roughly a 14–15% yield on *secured* 15-month paper are pricing meaningful odds that the refinancing fails. The stock, at \$0.94, is the last-loss claim sitting underneath that paper. Meanwhile the company is selling \$9.7 billion of its servicing portfolio (about 8% of it) to raise cash for debt repurchases — selling a piece of the asset that earns more when rates stay high, at a moment when mortgage rates are near 6.66%.

Our belief: this is a real operational recovery trapped inside an unresolved balance-sheet question, and the equity is not ownable until the debt question is answered.

What the market believes

The stock closed at \$0.9413, which is 0.9% above its 52-week low of \$0.9325 and 81% below its 52-week high of \$5.045. The market saw the same improving quarter we did — the earnings came out August 4 and the 10-Q on August 6 — and responded with the worst down day of the year (–10%) and a new low. The credit market is bidding the company's own secured bonds at 86–90 cents. In plain terms: the market believes the operational improvement is subordinate to the refinancing risk, which is exactly our

conclusion. There is also a small activist (Randian Capital, holding roughly 250,000 shares) publicly urging the board to explore a sale ([open letter, July 15, 2026](#)) — but founder Anthony Hsieh’s voting control makes that optionality, not a catalyst.

Why we might have edge

- **The bear consensus overstates two things, and we can prove it.** First, the “it’s just seasonality” story is wrong — the year-over-year column is positive across originations, revenue, units, and loss. Second, “they sold their hedge” (the servicing book, which earns steadily while rates are high) is overstated roughly twelvefold: the sale is ~8% of a \$123.4 billion portfolio, which still grew 5% year over year and stands near \$113.7 billion after the sale.
- **The prize if the debt clears is large and quantified.** The entire equity is valued around \$318 million for a company producing \$337 million of revenue per quarter and now near breakeven. If a committed refinancing appears, that stub repricing could be violent. We know exactly which gates to watch (below), which most holders at \$0.94 likely do not.
- **Price-as-verdict is weakest exactly here.** A sub-\$1, founder-controlled stock with a shrinking analyst audience is where the market’s “vote” is least informative — testing that is this desk’s core purpose.

Why it might be priced in

Symmetry requires saying this plainly: the market may simply be *right*. The bond market — a more sober judge than the stock market — is pricing material refinancing risk at 86–90 cents on secured paper, and cash halved in a year. The stock made a new low *after* the good quarter was public, so “the market hasn’t seen the improvement” is not available to us; it saw it and sold. The sub-\$1 price starts a New York Stock Exchange delisting clock (Rule 802.01C) once the 30-day average breaches \$1, with a reverse split as the likely cure. And the insider signal is mildly negative: on August 7, five executives’ performance-based stock awards were cancelled and replaced with simple time-based awards — meaning management itself did not expect the performance targets to pay.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Improvement is just Q1→Q2 seasonality” (red bench, graded FATAL)	Blue bench pulled year-over-year figures from the Q2 press release and coverage	Originations +18.7% YoY, revenue +19.4% YoY, loss narrowed, units +26% YoY. Red bench erred: it graded this fatal without the YoY data (it lacked web access and never ran our seasonality checker). Original pitch brief also erred by quoting only quarter-over-quarter numbers.	OVERTURNED — improvement is real
Secured 2027 notes trading at distressed levels	10-Q debt note (SEC filing) plus company’s own disclosed buyback prices	Repurchases at 90% of par in Q2, 86% through July 30 → ~14–15% yield on secured 15-month paper. The ~\$83M	CONFIRMED

Claim	How checked	Found	Confirmed?
		market discount on the notes is ~26% of the whole equity value.	
“Company sold its countercyclical servicing hedge” (red bench, graded FATAL)	Blue bench sized the sale against the total book	\$9.7bn sold of \$123.4bn (~8%); book +5% YoY, ~\$113.7bn remains. Red bench erred: overstated ~12x. Liquidity direction still correct — cash \$229.1M vs \$408.6M a year ago.	REDUCED to a sizing concern
Cash burn and 39% share dilution (red bench)	Pack XBRL series, decomposed	Share-count growth is mostly Up-C share-class exchanges (no economic dilution; ~330M economic shares throughout); operating cash flow sign is driven by loans-held-for-sale swings, normal for an originator. Red bench erred: raw series misread.	REDUCED to data note
Five Form 4 insider filings the day after the 10-Q	Red couldn’t read them (SEC returned 403 errors both benches); blue resolved via secondary source (StockTitan)	All five are grants, not sales: PSUs (performance-based) cancelled and replaced with time-based RSUs across the C-suite. Not selling — but abandoning performance conditions is a mild negative.	RESOLVED — benign direction, mild negative signal
Post-earnings tape rejection	Evidence-pack IBKR quote (same morning)	New 52-week low two days after the print; worst day of the year on 10-Q day. Fact confirmed; the <i>inference</i> (market is right) is the open question.	CONFIRMED as fact
Sub-\$1 delisting trigger	Price confirmed at \$0.9413; 30-day average not computed (broker permission denied to both benches)	Breach is recent (low was set this week), so the formal clock has likely just started, not tripped.	PLAUSIBLE — timing unverified

PROPOSED ENTRY BANDS

The courts say no entry at any price today. The equity is the last-loss claim beneath secured bonds trading at 86–90; averaging into that is not a price question. Instead, the benches’ own math defines **reopen gates** — any one of these reopens the name for a full re-court:

- 1. The 8.75% secured notes due Nov 2027 trade at or above 97 cents on the dollar.** That is the credit market withdrawing its objection. (Conversely, prints below ~86 confirm deterioration — close the watch.)
- 2. A committed refinancing or exchange is filed on Form 8-K** covering the November 2027 maturity.
- 3. Servicing-sale proceeds are disclosed and, pro-forma, cash covers the Nov 2027 secured maturity outright.** (Sale settles in Q3 2026; proceeds currently undisclosed.)
- 4. Q3 results (expected ~November 3, 2026 — date unconfirmed by the company) show year-over-year origination and revenue growth still positive.** This alone is necessary but not sufficient — it keeps the watch alive rather than reopening entry.

5. **Open-market insider purchases** (actual buys, not grants) by officers or directors.

Sizing on reopen: if gates 1 or 2 fire, this becomes a catalyst position in the ~\$318M stub — court it fresh at that point; do not pre-commit size from here. No position, no resting orders currently (book confirmed flat).

ARMED SENSORS

- NONE ARMED

This is a gap, and the deck flags it explicitly: the courts' entire reopen framework depends on sensors that do not exist yet. Implied missing sensors, per the benches:

- **Bond-price watch** on the 8.75% secured notes due Nov 2027 — alert at ≥ 97 (reopen) and < 86 (kill).
- **8-K filing watch** on CIK 1831631 for refinancing, exchange offer, or material-agreement events.
- **Servicing-sale proceeds watch** — Q3 settlement disclosure of the \$9.7bn sale.
- **NYSE 802.01C watch** — 30-day average price vs \$1.00, and any deficiency-notice 8-K.
- **Q3 earnings watch** (~2026-11-03, unconfirmed) — year-over-year origination/revenue check.
- **Form 4 watch filtered to open-market purchase codes** — grants suppressed (per the established post-print-grant filter).
- **Activist watch** — any 13D or follow-on from Randian Capital or a larger holder.

What remains unverified

- **Form 4 contents from the primary source.** SEC's site returned 403 errors to both benches; the "all grants, no sales" reading rests on a secondary source (StockTitan) and should be confirmed against EDGAR directly.
 - **The unsecured 2028 notes' market price.** If the *secured* paper is at 86–90, the unsecured presumably trades worse, which would strengthen the rejection — but nobody actually saw a print.
 - **The 30-day average price** for the delisting trigger — broker access was denied to both benches; only the spot price is confirmed.
 - **Servicing-sale proceeds** — amount and use of cash undisclosed until Q3.
 - **The Q3 earnings date** (November 3, 2026) is derived from a data vendor, not a company announcement.
 - **Our seasonality checker was never run** on the quarter-over-quarter figures — the seasonality charge died on year-over-year data instead, but the tool-level check is an open coverage gap.
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A process note alongside the deck: the court flagged that this name's whole reopen framework depends on sensors (bond-price, 8-K, proceeds, delisting-clock, Q3 print watches) that are currently unarmed — none exist for LDI. If you want, I can build and arm those watches next; the deck above is the deliverable as requested.